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Oracle Credit Research



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Oracle Force Majeure Deepens AI Credit Uncertainty: Credit React

Contributing Analysts Suchi Trivedi

(Bloomberg Intelligence) -- RECENT EVENT REACTION: Oracle's force majeure notice on its Project Jupiter data center in New Mexico, as reported by Bloomberg News, likely further pressures bond and credit-default swap spreads by adding execution risk to an already aggressive AI infrastructure buildout and negative free cash flow. Potential project delays raise questions about the timing of capital spending and the revenue needed to monetize it, even as Oracle says work remains on schedule while fiscal 1Q cloud infrastructure revenue surged 121%. With Oracle rated BBB- by S&P, prolonged project or permitting delays could add pressure to leverage and funding needs as the company finances its AI commitments. We believe investment-grade ratings will hold and spreads will ultimately tighten, though volatility should persist into next year as borrowing needs re-emerge. (09/24/26)

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1. Oracle Force Majeure Tests Timing, Not AI Demand: Credit Outlook

Contributing Analysts Suchi Trivedi

THESIS: Oracle's force majeure notice for Project Jupiter looks more like a timing issue than a sign of weaker AI demand, supporting our view that it can maintain high grade ratings, and recent bond and CDS widening may be overdone. Delayed payments could ease near-term cash burn and funding needs, though a later start would push out revenue and Ebitda growth and raise uncertainty around monetizing Oracle's AI investments. Its $664 billion of RPO provides strong visibility, but conversion into revenue and cash flow is critical as heavy fiscal 2027 capex keeps free cash flow negative and borrowing needs elevated.

Greater funding clarity, including likely debt issuance in 1H27, and continued operating improvement could support spread tightening and relative outperformance vs. megacap hyperscaler tech peers as execution risk recedes. (09/26/26)

Credit Considerations

Credit Checklist

2. Oracle CDS Breach Record High, Yet AI Growth Could Eclipse Risk

Contributing Analysts Suchi Trivedi

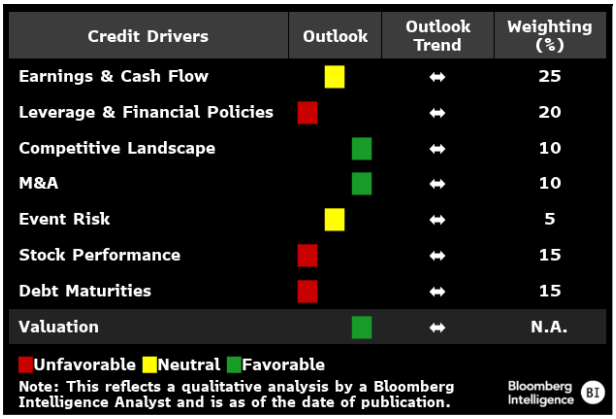
Record highs for Oracle's credit default swaps (CDS), now exceeding 220 bps, may overstate its standalone credit risk as AI funding concerns increasingly make the name a proxy hedge for data-center exposure. Investors and lenders financing Oracle-tenanted and other AI data-center projects can use its liquid CDS to hedge construction and tenant risk, potentially pushing spreads wider than Oracle's standalone fundamentals would indicate. Oracle's 121% growth in cloud infrastructure and

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$664 billion RPO increasingly support management's commitment to investment grade ratings as stronger AI monetization expands Ebitda and gradually offsets leverage pressure from the build-out. Project Jupiter adds execution noise, but disciplined funding and continued backlog conversion could narrow the gap between market-implied risk and Oracle's underlying credit profile. (09/26/26)

Interactive Credit Checklist: Oracle



Source: Bloomberg Intelligence

Credit Drivers: Spending Rises

Rater Concern Unlikely as Oracle Debt Binge Cools ... Until 2027

Contributing Analysts Suchi Trivedi

Oracle's debt binge is on hiatus until next year, likely idling negative rater actions after debt soared to a staggering $130 billion. But another wave of bond issuance is coming next year to finance tens of billions of near-term spending. Oracle's one-and-done $25 billion bond-issuance commitment was fulfilled in 1H, with management ruling out additional debt, until 2027. (06/15/26)

3. Debt Climbs, Further Upside Somewhat Telegraphed

Contributing Analysts Suchi Trivedi

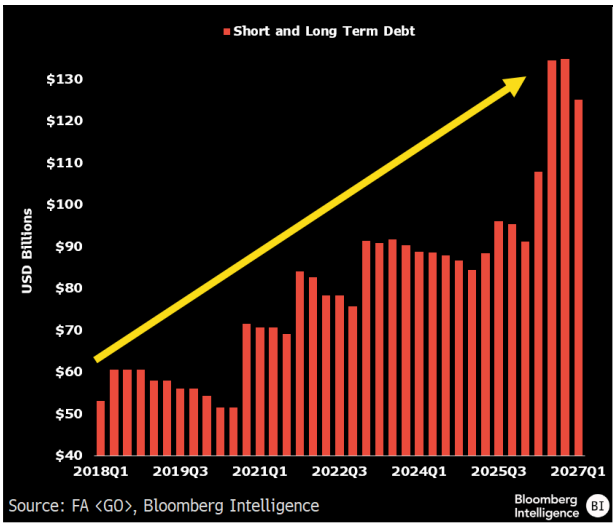
Oracle debt has leaped toward record highs in fiscal 2026 of $130 billion after closing out 2025 at $108 billion. Oracle's balance-sheet excesses extend beyond the tech sector, as it is now the largest non-financial constituent in the Bloomberg US Corporate Bond Index after early February's eight-tranche, $25 billion issuance. Accounting for leases, adjusted debt is even higher -- a metric that's likely to climb further in 2027 and likely mildly beyond, based on our forecast for an extended period of negative free cash flow.

We don't anticipate debt to rise further in 2026, with management noting it doesn't expect to issue any additional debt this calendar year. With $40 billion of fiscal 2027 funding needs, we expect at least half to be funded with equity, suggesting $20 billion or less of debt issuance in 1H27. (06/15/26)

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Oracle Debt Rises as AI Funding Needs Climb



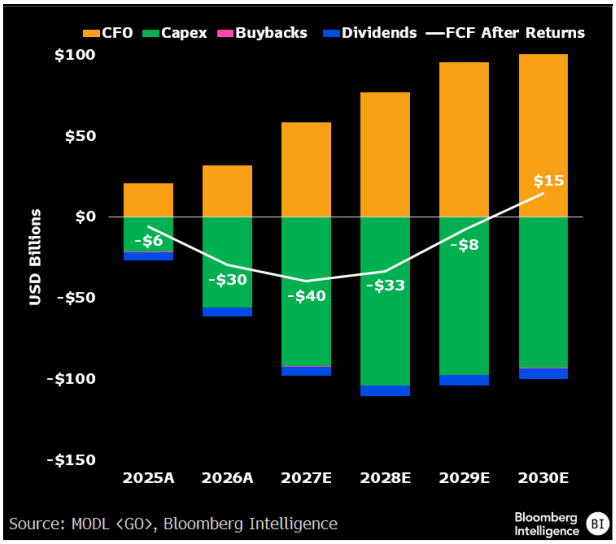
4. Positive Free Cash Flow Potential by 2030

Contributing Analysts Suchi Trivedi

Oracle's free cash flow will likely remain substantially negative in coming years amid rising capex. Though consensus anticipates about $100 billion of negative cash flow through fiscal 2029 (including dividends), management has already shown willingness to reduce capital needs, including a mixture of debt and considerable amounts of equity. As its contract backlog rises ($638 billion, up $85 billion in 4Q alone), even with customers funding equipment costs upfront or buying GPUs, funding needs persist. Oracle raised $43 billion in 2026 ($43 billion debt, $5 billion equity) with a similar amount needed in 2027.

The 2027 funding plan highlights management's public commitment to maintain a solid investment grade balance sheet. (06/15/26)

Oracle Capital Allocation Outlook



5. First Comes Spending, But Revenues to Follow

Contributing Analysts Suchi Trivedi

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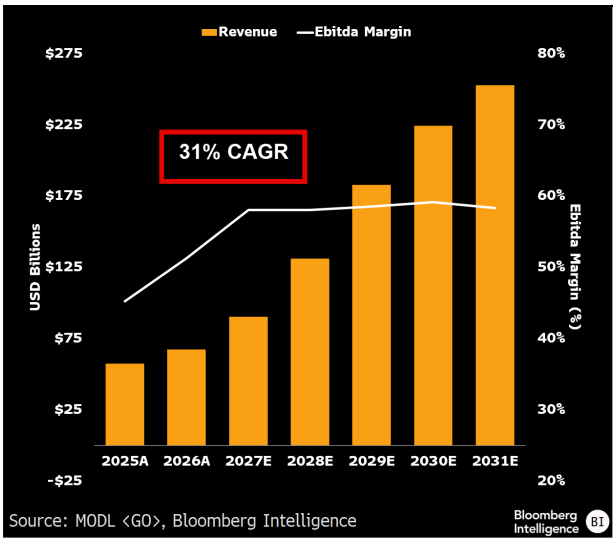
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Bloomberg Intelligence

Despite concerns about the surge in data-center construction and theoretical customer non-payment risks, Oracle's revenue is expected to increase at a 31% compound annual rate through fiscal 2030. Sales were $67 billion fiscal 2026, up 17% from a year earlier, and are expected to climb towards $250 billion over the next five years. The company forecasts the fiscal 2027 top line at $90 billion, up 34%.

Consensus estimates are predicated on Oracle recognizing much of its remaining performance obligations -- and assuming consistent Ebitda margins of about 50% -- that would assist in meaningfully deleveraging the balance sheet, despite higher absolute debt levels. (06/15/26)

Revenue and Ebitda Growth Consensus



6. Leverage Up, But Ebitda Can Reverse Trend

Contributing Analysts Suchi Trivedi

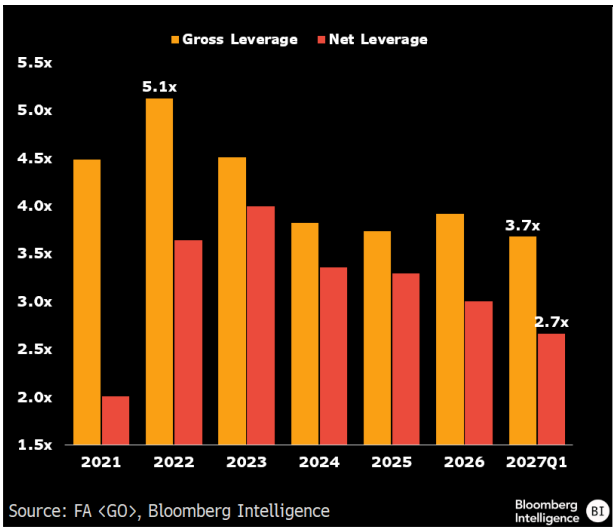
Oracle's leverage may rise in coming months as Ebitda likely trails the cost of data-center builds, yet the company has a record of successful deleveraging, with current gross leverage still below 2022 highs. Deleveraging is supported by Ebitda that consensus expects to rise above $125 billion in fiscal 2030 from $26 billion in fiscal 2025.

Oracle's ability to use creative off-balance sheet financing, as well as sporadic equity issuance, to support some of the capital-expenditure plans should allow reported leverage to remain within raters' investment grade targets. (06/12/26)

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Oracle Unadjusted Gross and Net Leverage



7. One and Done, Funding Needs Sorted for Year

Contributing Analysts Suchi Trivedi

In addition to fixed-rate corporate bond issuance and equity offerings, Oracle has funding alternatives such as private credit and bank loans that could allow for more creative financing that may shield against rating downside. This includes reported off-balance sheet private data-center borrowing for as much as $38 billion.

Following its early February bond issuance, all three raters affirmed Oracle's ratings (Baa2/BBB/BBB). Moody's and S&P maintain negative outlooks, but made some positive comments on its funding plans. S&P stated: "We view positively Oracle's recent announcement regarding its funding plan for calendar 2026." Moody's noted: "We believe the methodical, pragmatic, contracted-return approach to building out the AI Infrastructure business is well designed." (06/12/26)

Bloomberg Transcript

"To support our capital investments program, we expect to raise around $40 billion in debt and equity in our fiscal year '27, and that includes our already announced $20 billion at the market equity issuance. We don't anticipate raising additional debt funding in calendar year 2026...And as we pursue these opportunities, we'll remain focused on disciplined capital allocation, maintaining a strong balance sheet, and preserving our investment-grade credit rating."

Hilary Maxson - 4Q 2026 Earnings Call, Oracle Earnings Call, June 10, 2026

Click to view entire transcript

Liquidity: Negative Free Cash Flow Trajectory

Oracle Debt, AI Leases Surge, But Creative Funding Tools Abound

Contributing Analysts Suchi Trivedi

Oracle's spending on AI capacity is likely to keep its debt among the highest among corporate peers, but the company can also triple revenue over the next few years. Funding options include bonds, loans, private debt, hybrids, preferreds, convertibles, equity and/or strategic investments. It may also use a lower cost renting model to meet debt ($131 billion), lease commitments ($260 billion) and liquidity requirements. (07/23/26)

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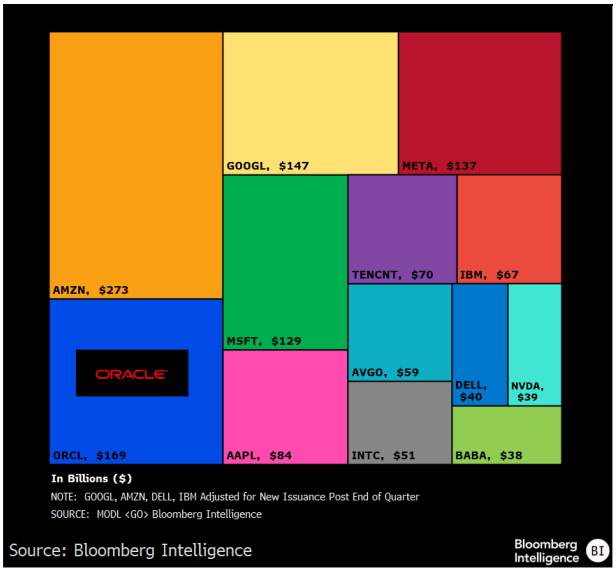
8. Near the Top of the Sector's Adjusted-Debt List

Contributing Analysts Suchi Trivedi

Oracle's total debt, including commercial paper, has risen to more than $130 billion ($167 billion on a lease-adjusted basis). One of the largest absolute debt loads in the tech universe, it's anticipated to climb further over the next few years as free cash flow remains negative. Only Amazon.com has a larger lease-adjusted debt balance, with Oracle exceeding Microsoft, Apple and Broadcom. With $260 billion of additional lease commitments expected to commence between fiscal 1Q27 and fiscal 2029, total adjusted debt may still rise relative to tech peers.

Oracle's debt is the highest (measured by market value) among all non-financial issuers in the Bloomberg US Corporate Bond Index, exceeding Verizon, AT&T, UnitedHealth and Comcast. Once Amazon's recent $25 billion financing is added to the index, Oracle is likely to fall to the number two position. (07/21/26)

Largest Tech Debt (Including Leases) Balances



9. Ratings Risk Likely to Persist as Spending Ramps Up

Contributing Analysts Suchi Trivedi

Oracle's credit ratings have fallen sharply since late 2018, with all three raters cutting it to the BBB zone from A in 2021. S&P's July one notch downgrade to BBB- amplifies fears of ratings falling to non-investment grade as business risk and capex requirements rise. Yet S&P's stable outlook and mid-BBB ratings at Moody's and Fitch suggest that probability remains low. S&P said its outlook assumes consistent improvement in profitability, while cash flow deficits in fiscal 2027 and beyond are expected to be funded with a mix of debt and equity.

A theoretical fall to high yield would make Oracle the largest non-investment grade debt issuer. That's unlikely, from our perspective, and an unsustainable position over the long term. (07/21/26)

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Oracle Credit Rating Table

	Moody's	S&P	Fitch
Ratings	Baa2 / Negative	BBB -/ Stable	BBB / Stable
Possible Triggers:			
Upward Bias	Gross Leverage Around 3x	Unlikely Over Next Two Years	Gross Leverage < 3.0x
	Strong Liquidity: FCF to Total Debt About 10%	Adj Leverage Sustained in Mid-3x Area	Ebitda Margin > 45%
Downward Bias	Leverage >3.5x or Liquidity Weakens	Debt/Ebitda > 4.5x with No Clear Path to Improvment	Gross Leverage > 3.5x
	No Clear Path to Positive FCF	No Path to Positive Fiscal 2029 FOCF	Ebitda Margin < 40%
Note:	Click	Click	Click

Source: Bloomberg Intelligence

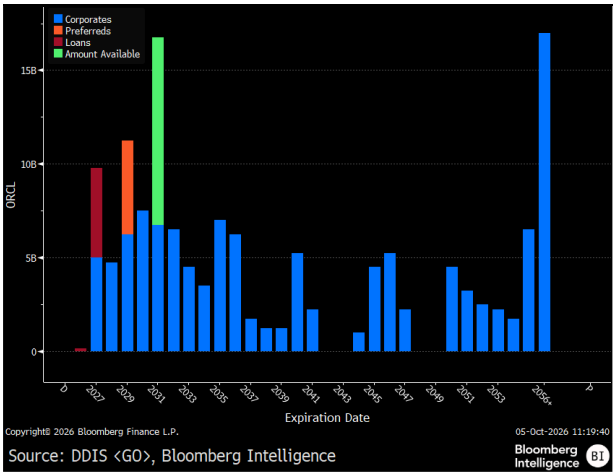
10. Total Debt Soars Past $130 Billion Outstanding

Contributing Analysts Suchi Trivedi

Oracle's total debt excluding leases is now at $131 billion. It rose to an all-time-high in fiscal 3Q, following issuance of $25 billion of bonds across the curve, demonstrating ample access to capital despite its downward ratings trajectory. Its 14.4 year weighted average maturity and $32 billion of cash supports intermediate-term liquidity, but about $25 billion comes due over the next three years. Free cash flow for fiscal 2027 will reach negative $45 billion in fiscal 2027 (but potentially falling to negative $25 billion based on net cash outlays), according on consensus, highlighting the need to access large sums of high grade capital over the next few years.

Helping to offset cash flow needs is Oracle's commitment to investment grade ratings, including plans to issue $20-25 billion of equity this calendar year. (07/21/26)

Oracle Debt-Maturity Schedule



11. Near-Term Funding Needs Become Clearer

Contributing Analysts Suchi Trivedi

Oracle's detailing for funding needs reveals no additional debt financing in calendar 2026. After indicating the need to raise about $40 billion in debt and equity in fiscal 2027 (including its previously announced $20 billion of at-the-market equity issuance), implying debt issuance, if any, may reach only $20 billion.

CFO Hilary Maxson noted during the fiscal 4Q earnings call: "We don't anticipate raising additional debt funding in calendar year 2026" and the company will pursue opportunities while remaining focused

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on capital allocation, maintaining a strong balance sheet, and preserving its investment grade credit rating. (07/23/26)

Bloomberg Transcript

"...our fiscal year 2027 with an expected net cash outlay for capital expenditures of around $70 billion. This includes customer prepayments and timing impacts expected at around $20 billion to $25 billion, so our reported CapEx will be higher by this amount...this demand is allowing us to garner customer prepayments and bring your own hardware at similar or better margins than the rest of our contracts...we expect to raise around $40 billion in debt and equity in our fiscal year '27, and that includes our already announced $20 billion at the market equity issuance. We don't anticipate raising additional debt funding in calendar year 2026."

Oracle CFO Hilary Maxson - Fiscal 4Q26 Earnings Call, Oracle
Bloomberg Transcript, June 10, 2026
Click to view entire transcript

12. Largest Non-Financial High Grade Debt Issuer

Contributing Analysts Suchi Trivedi

Oracle's over $99 billion market value of index-included debt is the seventh-largest in the Bloomberg US Corporate Bond Index as of July 21, and the largest non-financial. This has climbed considerably in recent years despite most bonds trading below par due to wider spreads, with many bonds trading under 70 cents on the dollar. (07/22/26)

Largest High-Grade Debt Issuers in the Index

ISIN Description	Weight	MV↓
▸ JPM (70 members)	2.26313	166,173,611
▸ MS (67 members)	2.22337	163,253,740
▸ BAC (59 members)	2.05735	151,063,382
▸ GS (51 members)	1.76211	129,385,318
▸ C (53 members)	1.46021	107,217,868
▸ WFC (44 members)	1.42464	104,606,280
▸ AMZN (42 members)	1.39506	102,433,881
▸ ORCL (52 members)	1.27836	93,865,219
▸ HSBC (50 members)	1.19359	87,640,733
▸ T (57 members)	1.06015	77,843,005
▸ VZ (51 members)	1.00775	73,995,498
▸ META (25 members)	0.98067	72,006,934
▸ GOOGL (30 members)	0.90210	66,237,587
▸ UNH (59 members)	0.83362	61,210,016
▸ ABBV (38 members)	0.82101	60,283,408
▸ DUK (118 members)	0.81271	59,674,279
▸ CMCSA (55 members)	0.73339	53,849,978
▸ TMUS (40 members)	0.72524	53,252,035
▸ AAPL (39 members)	0.68095	49,999,945
▸ NEE (65 members)	0.67410	49,496,690
▸ PFE (33 members)	0.66116	48,546,602
▸ AVGO (34 members)	0.65479	48,078,844

Source: PORT <GO>, Bloomberg Intelligence

Valuation: Bond Deluge Over?

Oracle CDS Wide Amid Junk Concern; Bond Carry Becomes Compelling

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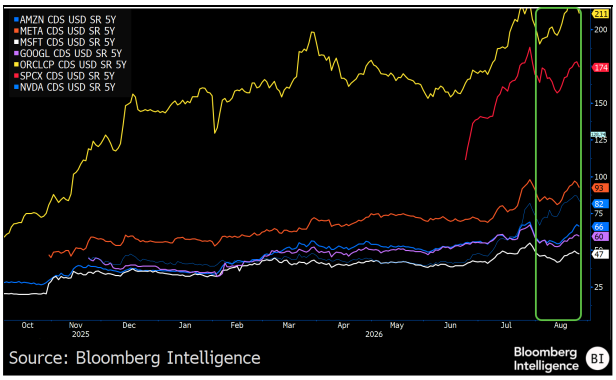
Oracle's debt can outperform high quality tech peers through year-end as the bonds' carry now compensates investors for capital spending and free-cash-flow concerns, while a demotion to high yield still appears unlikely. Oracle's credit-default swaps and long-duration bond spreads climbed to 52-week highs after S&P cut its rating to BBB-, one notch above junk, and the stock price has fallen to a one-year low. Concerns about elevated AI spending, negative free cash flow, funding needs and the timing of AI monetization will persist in 2H, but management has forecast no additional bond issuance, limiting near-term supply pressure. (07/22/26)

13. From BBB to AAA, AI Anxiety Eases as CDS Spreads Rally

Credit-default swap volumes have increased, but have rallied since late July as concerns ease with strong 2Q results suggesting AI monetization is being realized and may justify rapidly rising capex spending and debt issuance. Still, growing scrutiny of circular financing has added another source of risk. Spreads on CDS for some of the highest quality, tightest-trading technology debt issuers as a way to hedge broad hyperscaler and neocloud risk have risen, but not dramatically on an absolute basis. Amazon.com, Nvidia, Meta, Microsoft and Alphabet CDS are 10-40 bps wider over the past 12 months despite AA and AAA credit quality, as free cash flow after shareholder returns turns negative, bond issuance rises and anticipated borrowing needs soar. Oracle and SpaceX, the only BBB issuers in the group, have widened more sharply, but have also recovered sharply, a trend that could slow if the pace of 2H bond issuance declines.

Amid costly AI build-outs, adjusted tech corporate bond unsecured issuance hit an all-time high in 2025. With near $280 billion in hyperscaler dollar-equivalent debt sold year-to-date, issuance has far exceeded historical levels. (08/29/26)

AI, Hyperscaler Credit Default Swaps



14. Equity, Debt Valuations Begin to Show Improvement

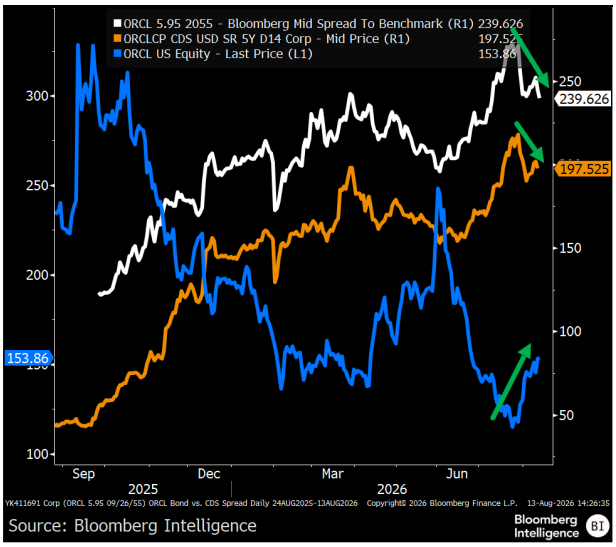
Rising debt, increased leverage and lack of confidence in future cash flow have raised concerns about Oracle's credit ratings, with fears of losing its high grade status casting a shadow over valuations. Yet Oracle's stated commitment to investment grade is supported by its decision to issue as much as $25 billion of equity in 2026 to fund its AI ambitions. Also, stable outlooks at S&P (BBB-) and Fitch (BBB), along with Baa2 ratings at Moody's, indicate a fall to high yield over the next 12 months is very unlikely. With $130 billion of bonds outstanding, avoiding a descent to junk is critical to Oracle's success, with options including off balance sheet financing, customer prepayments and bring-your-own-hardware options that cut capital spending, plus larger equity issuance that could slow leverage deterioration and preserve high grade access.

Funding needs may decline as more vendors show interest in renting capacity, which would reduce Oracle's cash needs. Also, turning to banks, private debt and equity markets for funding helps reduce reliance on public debt markets. (08/14/26)

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Oracle Equity, Bond, CDS Moves

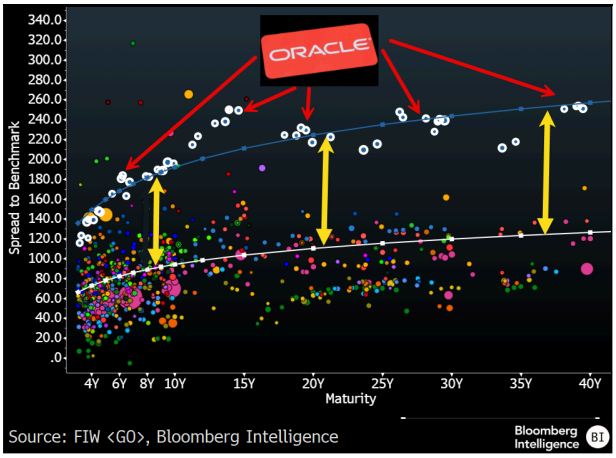


15. Despite Some Recovery, Well Wide to Comparables

Oracle bonds trade 70 bps wider than its BBB high grade tech peer average, with that discount rising to 70-130 bps relative to all high grade tech. Its longest duration 6.7% bonds that mature in 2056 have widened 70 bps since issuance in February, falling to 89 cents on the dollar, but have tightened 40 bps over the past three weeks as AI sentiment has improved across hyperscalers. With Oracle meeting its 2026 public-debt financing needs, trading technicals can improve, despite large 2027 funding needs likely. Even if the wider spreads simply stabilize, though our bias remains toward tightening as operational execution improves, 2H outperformance potential has risen based on considerable excess relative carry.

Oracle's negative 117 bps of excess returns this year have underperformed tech peers and the broader index by 80 bps and 159 bps, respectively. (08/14/26)

Oracle Spreads vs. High Grade Tech Peers



16. Risks Are Real But Appear Manageable

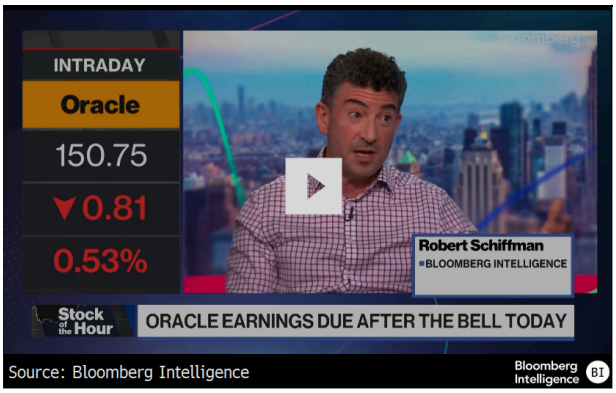
(04/23/26)

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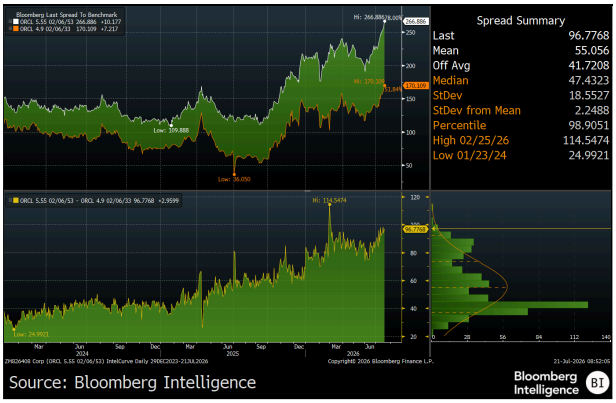
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17. Steeper Curve as Leverage Concerns Rise

The pricing gap between Oracle's 4.9% notes due in 2033 and its 5.55% bonds maturing in 2053 is 97 bps, 55 bps steeper from the start of the year. If sentiment shifts to supporting management's ability to contain ratings risk -- based on reducing cash outflows, specifying borrowing details and realizing top-line benefits from its data-center investments -- could reduce spread volatility and flatten the curve in 2H. (07/22/26)

Oracle 2033/2053 Spreads



Earnings Review

Earnings Review

18. Oracle AI Funding Stress Eases on Prepayments: Earnings Outlook

Contributing Analysts Anurag Rana (Technology) & Josh Christensen (Technology)

Post-1Q Earnings Outlook: Oracle's fiscal 2027 funding needs should stay contained even as AI-infrastructure growth accelerates, helped by customer prepayments, bring-your-own-hardware arrangements and supplier financing. We see capital expenditures of $90-$100 billion in fiscal 2027, with $70 billion coming from internal financing. Cloud infrastructure revenue rose 120% in constant currency and is likely to continue accelerating through 2027 as more backlog converts to sales.

The key debate should shift from funding capacity to execution, particularly the pace of data-center delivery. Operating margin held near 42% despite lower gross margin from a greater cloud-infrastructure mix, supported by lower operating expenses as a percentage of sales. We expect that to sustain through the rest of the year. (09/11/26)

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Highlights From Recent Results:

- Fiscal 1Q Sales Rose 30% in Constant Currency (CC) to $19.3 Billion Due to Cloud Demand, vs. 11% Gain a Year Earlier
- Adjusted EPS Rose 31% to $1.92 vs. $1.47 a Year Ago, Driven by AI Computing Demand
- Adjusted Operating Margin Expanded About 30 Bps to 42.1% From Last Year Amid Revenue Gains and Operating Efficiencies
- Cloud Applications Revenue Was 10% Higher in CC, vs. Similar 10% Growth a Year Ago
- Cloud Infrastructure Revenue Climbed 120% in CC, Above 54% Gain in Prior Year, Driven by AI Training Workloads

Additional Resources:

- Earnings Release | NSN »

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